



SKEMA
BUSINESS SCHOOL

MSc Corporate Financial Management
Corporate Valuation Methods

Introduction to the course

Academic year 2026–2027

My Role in This Course

You already know the Corporate Finance foundations. My role is to help you use them to value real businesses.

CONNECT

Connect valuation theory to real companies and transactions

INTERPRET

Explain what the assumptions and outputs actually mean

SELECT

Help you choose the appropriate valuation method for the situation

CHALLENGE

Question growth, margins, risk, multiples and terminal-value assumptions

DEFEND

Help you build a valuation conclusion that you can explain and defend

The objective is not simply to calculate value — it is to understand what drives value and whether the conclusion is defensible.

What is Corporate Valuation?

Corporate valuation estimates the economic value of a business or its equity.

Intrinsic valuation

Expected future cash flows →
present value

Relative valuation

Comparable-company
market pricing

Transaction & LBO

Buyer prices, leverage and
investor returns

Asset based

Underlying assets and
strategic flexibility

Understand the business → forecast performance → select the method → estimate value → challenge assumptions

Why is Corporate Valuation Important?

Valuation is at the heart of major financial decisions

- M&A: What should an acquirer be willing to pay?
- Investing: Is a company overvalued or undervalued?
- Private Equity: What price supports the required return?
- Corporate Strategy: Does a transaction or restructuring create value?
- Capital Markets: What is a reasonable value for an IPO or listed company?
- Financial Advisory: How can different valuation methods be reconciled?

M&A

Strategic buyer

MARKETS

Public investor

PRIVATE EQUITY

Financial buyer

You do not study valuation to memorize formulas. You study it to form and defend a view about what a business is worth.

At the End of This Course, You Will Be Able To:

Prepare a company

Normalize earnings and identify relevant cash flows

Build a DCF

Forecast FCFF/FCFE and estimate enterprise and equity value

Use market valuation

Apply trading comparables and precedent transactions

Evaluate an LBO

Estimate entry price, debt paydown, exit value, MOIC and IRR

Value special situations

Start-ups, private firms, and distressed companies

Defend a valuation

Challenge assumptions and develop a defensible valuation range

Course Organization

How the course is structured

- 6 face-to-face sessions
- 18 contact hours
- Theory, broader concepts
- Applied examples and exercises
- Applied group project
- Prior knowledge of Corporate Finance is assumed



The rhythm is simple: understand the business → apply the valuation method → interpret the result → challenge the assumptions.

Topics We Will Cover

1. Valuation Foundations & Preparing for Valuation
2. Forecasting & Valuation Inputs
3. Intrinsic Valuation
4. Market-Based, Transaction & LBO Valuation
5. Special-Situation Valuation
6. Distress & Valuation Synthesis

From understanding the business → to intrinsic value → to market and transaction valuation → to special situations.

Reference Books

Main reference

Aswath Damodaran

Investment Valuation

Primary reference for intrinsic valuation, relative valuation and special situations.

Additional reference

Tim Koller, Marc Goedhart & David Wessels

Valuation: Measuring and Managing the Value of Companies

Useful for applied corporate valuation and value-driver analysis.

Use the books to reinforce concepts, examples and applications. Course materials and instructions will be available on K2.

Course Evaluation

10%

Class Participation

Individual Grade

Class discussions
in-class exercises
valuation reasoning

30%

**Applied Company
Valuation Project**

Collective Grade

Real listed company
Valuation report
Calculations in Excel

20%

Mid-term Exam

Individual Grade

MCQ-based exam

40%

Final Exam

Individual Grade

MCQs
open questions
Exercises

Assessment philosophy

Apply valuation methods to real companies, explain the assumptions behind the numbers, and defend the resulting valuation conclusion.

Applied Company Valuation Project — Group & Company Choice

1

FORM YOUR GROUP

5 students per group

55 students → 11 groups

2

CHOOSE A COMPANY

One publicly listed company

Each group must select a different company

3

SUBMIT YOUR CHOICE

1 preferred + 1 alternative

Approval required

Choose a suitable company

- Sufficient public financial information
- Identifiable listed peers for relative valuation
- Business model that can support a credible DCF

Important rules

- Avoid banks, insurance companies, highly distressed firms and very early-stage companies
- Once approved, do not change company without approval

Choose a company you can understand, model and defend — not simply the most complicated company.

In Class This Semester

- Bring a laptop for valuation exercises when requested
- Bring a calculator or spreadsheet-enabled device
- Participate actively in valuation discussions
- Be prepared to explain your assumptions, not only your calculations
- Different valuation answers are possible — but assumptions must be defensible
- Be professional, active, and respectful

What matters most

Clear reasoning

Consistent assumptions

Economic intuition

Ability to explain why your valuation is reasonable

A good valuation is not the one with the most complicated model. It is the one with the most defensible assumptions.

Let's Begin

What is a company worth?

And what assumptions would make that value defensible?

MARKET PRICE

Observable

ESTIMATED VALUE

Assumption-driven

TRANSACTION VALUE

Perspective-dependent